MODULE 6

CASE STUDY

Bolt.new: When AI Builds the Builder

A startup builds an AI tool that builds apps — using AI to build it

Prepare this case before class. Come ready to take a position.

THE SITUATION

StackBlitz (Bolt.new), Mid-2024

Eric Simons at StackBlitz has built WebContainers — technology that runs Node.js entirely in the browser. Now, with Claude and GPT-4 capable of writing production code, he sees an opportunity: an AI-powered app builder where users describe what they want and get a full-stack app running in their browser.

But the competition is intense. Vercel has v0, Replit has AI, Cursor is dominating AI coding, and dozens of 'AI builders' launch every week.

KEY FACTS

- WebContainers: unique browser-based runtime
- Claude/GPT-4 can write full apps
- Competitors: v0, Replit, Cursor, Lovable
- Market: developers + non-developers
- AI coding market growing 300% YoY
- Build time: 2 weeks vs. 2 months?

THE DECISION

Should Bolt.new ship fast with an MVP or polish for a premium launch?

OPTION A

Ship in 2 weeks — speed wins in AI, imperfect is fine, iterate based on real usage

OPTION B

Polish for 8 weeks — the market is crowded, quality differentiation is the only moat

OPTION C

Ship core feature fast, build differentiation slowly — launch edit capabilities first, add generation later

DISCUSSION QUESTIONS

Come prepared to defend your position with evidence from the case.

1. How does the AI development revolution change the prototyping mindset?
1. What's Bolt.new's 'unfair advantage' — and how long will it last?
1. Apply the prototype fidelity spectrum: what fidelity does Bolt need for launch?
1. In a market where everyone can build fast, what actually differentiates?